11
CHAPTER

Marketing Management

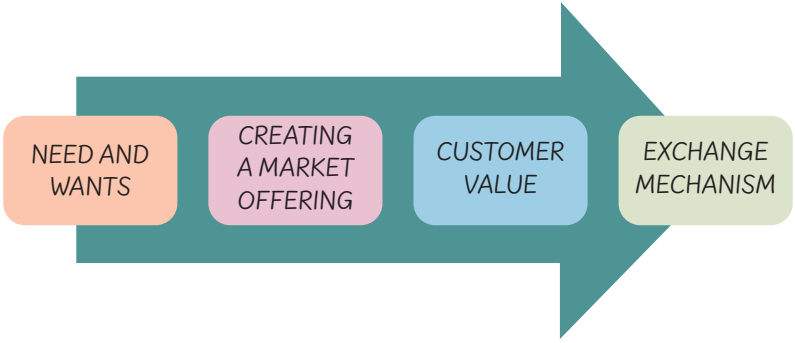
MEANING AND DEFINITION OF MARKETING

Marketing is the social process through which individuals and groups obtain what they need and want by creating, offering, and freely exchanging valuable products and services with others.



"Marketing as a human activity directed at satisfying needs and wants through exchange process". *Philip Kotler*

FEATURES OF MARKETING (EVON)



1. **Need and Want:** *Marketing focuses on identifying and fulfilling customer needs and wants to ensure satisfaction.*
2. **Creating a Market Offering:** *It involves designing products or services with specific features to meet customer expectations, such as detergents in various sizes.*

3. **Customer Value:** *A product is valued based on the satisfaction it provides, and customers choose it over competitors if it offers better utility and benefits.*
4. **Exchange Mechanism:** *The process of trading products or services for money, either directly between buyers and sellers or through intermediaries.*

Conditions for Exchange Mechanism

Condition	Requirement
Two Parties	*Buyer & seller must be involved.*
Value Offer	*Each must provide something valuable.*
Communication	*Ability to communicate & deliver.*
Freedom	*Right to accept or reject the offer.*
Willingness	*Both must be ready to transact.*

FUNCTIONS OF MARKETING

1. **Market Research:** *Collecting and analyzing market information to identify customer needs.*
2. **Market Planning:** *Developing strategies for production, promotion, and sales.*
3. **Product Development:** *Designing products with desirable features and attributes.*
4. **Standardization & Grading:** *Ensuring quality consistency and classifying products.*
5. **Packaging & Labelling:** *Protecting, branding, and providing product details.*
6. **Branding:** *Creating a unique identity through brand names.*
7. **Customer Support:** *Providing after-sales services and handling complaints.*
8. **Pricing:** *Determining product value based on market demand and competition.*
9. **Promotion:** *Advertising, sales promotion, and public relations to boost sales.*
10. **Distribution:** *Deciding channels and logistics for product availability.*
11. **Transportation:** *Moving goods to ensure availability at the right place.*
12. **Storage and Warehousing:** *Storing goods to manage supply and demand gaps.*



Difference Between Marketing and Selling

Basis	Selling	Marketing
Meaning	*Finding, securing, and developing demand for a product.*	*Promoting buying and selling activities for customer satisfaction.*
Scope	*Narrow-limited to increasing sales.*	*Wide-includes selling and customer satisfaction.*
Focus	*Transfer of ownership to consumers.*	*Fulfilling consumer needs and wants.*
Objective	*Maximizing sales volume for higher profits.*	*Earning profits through consumer satisfaction.*
Emphasis	*Adapting consumers to the product.*	*Developing products as per consumer needs.*
Strategy	*Uses promotion and persuasion.*	*Uses integrated marketing strategies (4Ps: Product, Price, Promotion, Place).*
Start & End	*Begins after production and ends with sale.*	*Starts before production and continues with after-sales services.*
Demand	*Assumes pre-existing demand.*	*Creates and maintains demand.*

MARKETING MANAGEMENT

Marketing management is the process of planning, organizing, and controlling marketing activities to satisfy consumer needs and achieve business goals. It focuses on customer satisfaction through market research, product development, pricing, promotion, and distribution.

MARKETING MANAGEMENT PHILOSOPHIES (PPS - MS)

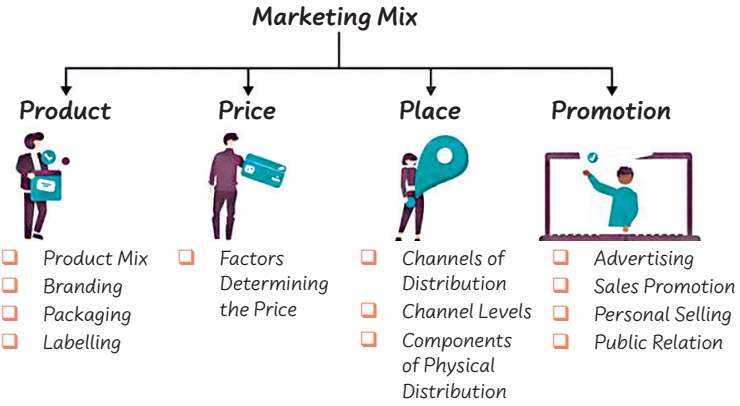


1. **Production Concept:** *Focuses on mass production to reduce costs, assuming customers prioritize affordability and availability (e.g., Ford Model T).*
2. **Product Concept:** *Prioritizes high quality, believing superior products drive sales, though demand depends on consumer needs (e.g., Apple).*
3. **Selling Concept:** *Uses aggressive sales tactics to push products, often leading to short-term gains but potential reputational risks (e.g., Insurance sales).*
4. **Marketing Concept:** *Customer-centric approach, producing what consumers want while staying competitive and profitable.*
5. **Societal Concept:** *Balances customer satisfaction with ethical, social, and environmental responsibilities. It ensures customer satisfaction without harming society (e.g., Companies avoiding harmful products like drugs).*

MARKETING MIX

*The **Marketing Mix** refers to the combination of marketing tools used by businesses to promote their products or services effectively. This mix helps businesses achieve their marketing objectives and create value for their target market.*

Elements of Marketing Mix: 4Ps



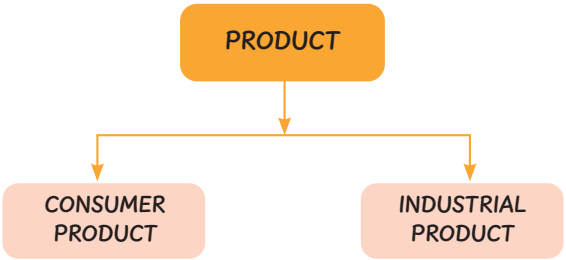
PRODUCT MIX

Product Mix refers to key decisions about a product, including its **design, quality, quantity, packaging, and assortment** to meet customer needs. Businesses often expand their product mix to cater to diverse customer needs.

The essential components of the product mix are **Branding, Packaging,** and **Labelling**.

Classification of Products

Anything of value offered by an organisation to the market for satisfying their want or need is known as a **Product**. Products are classified into **Consumer Products** and **Industrial Products**.



1. Consumer Products

These are directly used by consumers for personal needs and classified based on **Durability** and **Shopping Efforts**.

A. Based on Durability:

- **Durable Products:** Long-lasting items like washing machines, refrigerators.
- **Non-Durable Products:** Short-term use items like soap, biscuits.
- **Services:** Intangible offerings like education, healthcare.

B. Based on Shopping Efforts:

- **Convenience Products:** *Frequently purchased with minimal effort (E.g., Salt, Newspapers).*
- **Shopping Products:** *Compared before buying (e.g., Clothes, Mobiles).*
- **Speciality Products:** *Unique, high-value items requiring special effort (e.g., Luxury Watches, Antiques).*

BRANDING

***Branding** is the process of giving a product a unique identity through a **name, symbol, or design** to differentiate it from competitors. It helps in product recognition, advertising, pricing, and customer loyalty.*

Key Branding Terms

- **Brand:** *Identification of a product (e.g., Nike, Apple).*
- **Brand Name:** *The spoken part of a brand (e.g., Lux, Dell).*
- **Brand Mark:** *A visual symbol (e.g., Nike swoosh, Apple logo).*
- **Trademark:** *Legally protected brand elements.*

Features of a Good Brand Name

- *Short, simple, and easy to pronounce.*
- *Suggestive of product benefits (e.g., Hair & Care).*
- *Unique and culturally appropriate.*

Advantages of Branding

For Companies	For Customer
Product Differentiation: *Helps distinguish products from competitors.*	**Ensures Quality:** *Customers trust branded products for quality.*
Easy New Product Introduction: *Popular brand names help launch new products.*	**Easy Identification:** *Helps customers recognize and choose products.*
Effective Advertising: *Enhances brand awareness and marketing impact.*	**Status Symbol:** *Branded products add prestige and confidence.*
Differential Pricing: *Established brands can charge premium prices.*	

PACKAGING

***Packaging** is the design and production of containers and wrappers for products, which plays a crucial role in product success. It provides protection, convenience, and can influence consumer purchasing decisions.*

Levels of Packaging

Levels of Packaging



Primary Packaging | Secondary Packaging | Transportation Packaging

1. **Primary Packaging:** *The immediate packaging that holds the product (e.g., Toothpaste tube).*
2. **Secondary Packaging:** *Additional packaging for protection (e.g., Cardboard box for toothpaste).*
3. **Transportation Packaging:** *Packaging for protecting products during transport and storage (e.g., Corrugated box with multiple units).*

Importance of Packaging

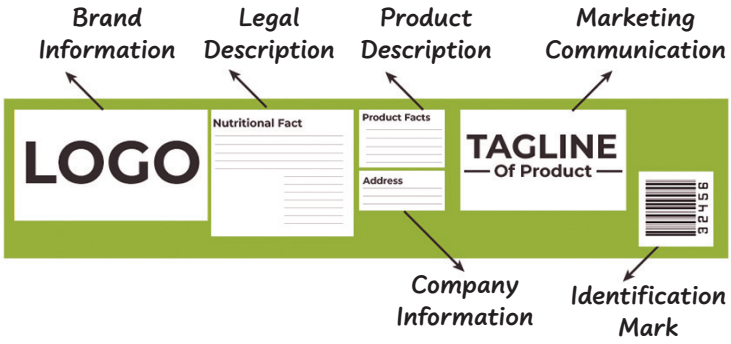
1. **Health & Sanitation:** *Packed goods are preferred for hygiene.*
2. **Self-Service Outlets:** *Attractive packaging boosts sales in self-service stores.*
3. **Innovation:** *Packaging innovation increases shelf life (e.g., Tetra packs).*
4. **Product Differentiation:** *Packaging helps create a distinct brand image.*

Functions of Packaging

1. **Product Identification:** *Packaging helps in easy recognition (e.g., Maggi packaging).*
2. **Product Protection:** *Protects goods from damage, spoilage, or contamination.*
3. **Facilitating Use:** *Packaging should be easy to open, close, and store.*
4. **Product Promotion:** *Packaging acts as a marketing tool, boosting sales.*
5. **Raising Standard of Health and Sanitation:** *It has become essential because of rising standards of health and sanitation*
6. **Self-Service Outlet:** *Products that are attractive are usually picked*
7. **Product Differentiation:** *Helps the customers in differentiating on the basis of quality*
8. **Innovational Opportunities:** *Recent change in packaging has brought change in the marketing*

LABELLING

Labelling *refers to the information attached to a product or its packaging, providing details about the product or the seller. It includes key details such as product name, manufacturing date, expiry date, usage instructions, price, and more.*



Types of Labels

1. ***Simple Tag:*** *Basic information like price or quality (e.g., on local products like sugar).*
2. ***Elaborate Tag:*** *Detailed information, often for branded products, including use, performance, and features.*

Functions of Labels

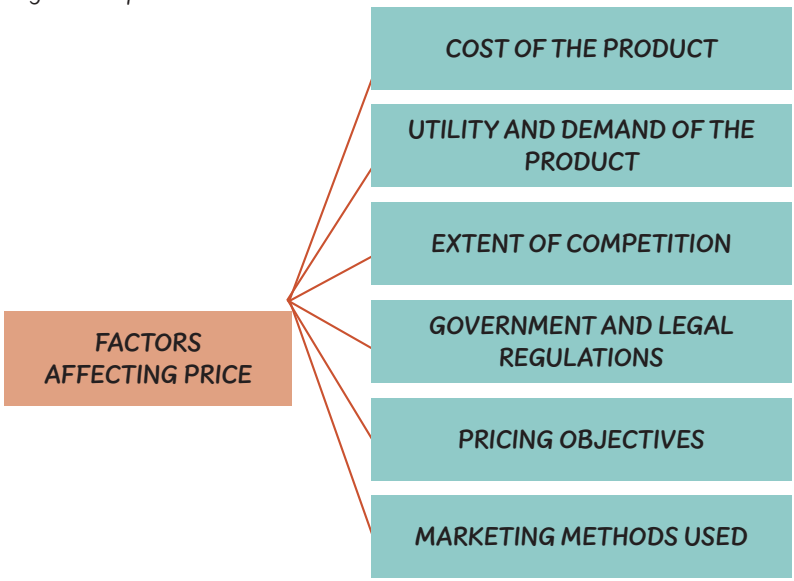
1. ***Product Description:*** *Labels provide detailed information about the product (e.g., Ingredients, Instructions).*
2. ***Product & Brand Identification:*** *Helps customers recognize the product and brand (e.g., Amul products).*
3. ***Grading:*** *Differentiates product variations (e.g., Different types of Amul milk).*
4. ***Promote Sales:*** *Labels help attract customers and support promotional schemes.*
5. ***Legal Compliance:*** *Labels ensure legal information, such as batch number, weight, and statutory warnings (e.g., "Smoking causes cancer" on cigarette packs).*

PRICE MIX

Price refers to the monetary value of a product or service that a buyer pays to the seller. Price Mix is the process of determining the right price for a product, which is a critical element of the marketing mix.

Factors Affecting Price Determination

1. **Pricing Objectives:** *Goals like profit maximization, market share, or survival in a competitive market.*
2. **Competition:** *Prices are influenced by competitors, especially in a competitive market.*
3. **Product Cost:** *Prices should cover both fixed and variable costs.*
4. **Demand & Utility:** *Higher demand or utility allows for higher prices.*
5. **Marketing Methods:** *Advertising and distribution strategies can affect pricing.*
6. **Government Regulations:** *Governments may control prices for essential goods to protect consumers.*

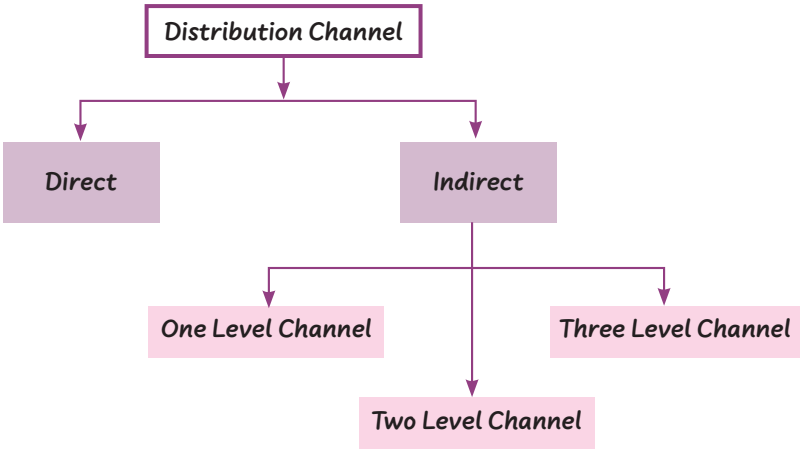


PLACE/PHYSICAL DISTRIBUTION MIX



Place mix includes deciding on distribution channels (direct or indirect) and managing physical distribution components like order processing, transportation, warehousing, and inventory.

Channels of Distribution

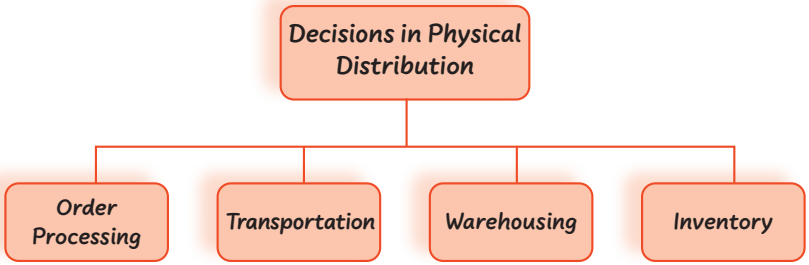


1. **Direct Channel (Zero Level Channel):** *The manufacturer sells directly to the consumer (e.g., Apple, Amazon).*
2. **Indirect Channels:** *Middlemen like wholesalers and retailers are involved to make products available in wider areas.*

Distribution Levels

1. **One-Level Channel:** *Manufacturer sells directly to retailers, who then sell to consumers.*
2. **Two-Level Channel:** *Involves wholesalers and retailers.*
3. **Three-Level Channel:** *Involves agents, wholesalers, and retailers.*

Components of Physical Distribution



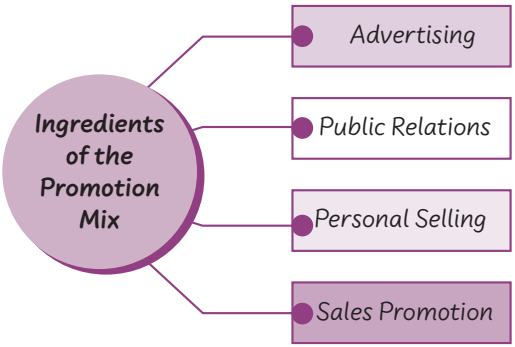
1. **Order Processing:** *Efficient handling of orders ensures timely and reliable deliveries.*
2. **Transportation:** *Moving goods via the most suitable mode (e.g., Air, rail, or sea).*
3. **Warehousing:** *Storing goods until distribution, ensuring availability when needed.*
4. **Inventory Control:** *Managing stock to balance customer service with costs.*

Factors Determining Inventory Level

1. **Customer Service Policy:** *Higher service levels require more inventory.*
2. **Sales Forecast Accuracy:** *Better forecasts reduce the need for large stock.*
3. **Distribution System Responsiveness:** *Quick responses reduce inventory needs.*
4. **Inventory Costs:** *High costs lead to maintaining lower inventory levels.*

PROMOTION MIX

Promotion Mix includes the strategies used to communicate and increase sales. It involves advertising, sales promotions, personal selling, and public relations. The goal is to inform and persuade customers to buy a product.



ADVERTISING

Advertising is a paid, non-personal method of promoting goods, services, or ideas, aimed at influencing customer behavior. It uses various media like newspapers, TV, and online platforms to communicate product benefits, availability, and pricing.



Importance of Advertising

1. **Informs & Educates** customers about products.
2. **Promotes** products, increasing brand visibility.
3. **Boosts employee morale** through positive brand image.
4. **Enhances sales** by attracting more customers.

Features

1. **Paid** communication.
2. **Impersonal:** No direct contact between advertiser and customer.
3. **Identified sponsor:** Advertiser's identity is disclosed.

Merits

1. **Mass reach** to large audiences.
2. **Increases customer confidence** in the product.
3. **Expressiveness:** Uses modern techniques to make products appealing.
4. **Economical:** Cost per unit is low.
5. **Choice:** There are various forms of advertising like print media, televisions etc.
6. **Legitimacy:** Since the advertisement is publicly available, people trust the information.

Demerits

1. **Less Forceful:** No direct interaction.
2. **Lack of Feedback:** Difficult to measure effectiveness.
3. **Inflexibility:** Hard to modify ads after creation.
4. **Low Effectiveness:** Ads may be ignored due to oversaturation.

Objections to Advertising

Objection	Explanation	Against the Objection
Adds to Cost	Advertising increases product prices by raising production costs.	Advertising helps increase demand and leads to mass production, reducing per unit cost.
Undermines Social Values	Advertising promotes materialism and dissatisfaction by tempting people to buy unnecessary products.	Advertising informs about better choices, and purchasing decisions are ultimately up to consumers.

Confuses Buyers	*Excessive advertisements create confusion with conflicting claims.*	*Advertising provides a variety of choices, and rational consumers can make informed decisions.*
Encourages Sale of Inferior Products	*Advertisements may promote low-quality products.*	*Inferiority of a product depends on target market preferences, and not all buyers are influenced by ads.*
Some Advertisements are in Bad Taste	*Advertisements can use inappropriate content or messages to attract customers.*	*What is considered in bad taste is subjective; government regulations can enforce ethical standards.*

PERSONAL SELLING

Personal selling is a direct, face-to-face communication process where salespersons inform and persuade customers to purchase products or services. It involves two-way interaction aimed at building relationships and closing sales.



Features of Personal Selling

1. **Personal Form:** *Direct, face-to-face communication develops personal contact.*
2. **Relationship Building:** *Strengthens friendly and personal relations with customers.*
3. **Two way Communication:** *Communication between the buyer and the seller.*
4. **Better Response:** *Personal selling gets better attention of the customers.*
5. **Better Convincing:** *Most effective form of promotion.*

Merits of Personal Selling

1. **Flexibility:** *Sales presentations can be adjusted based on customer needs.*
2. **Direct Feedback:** *Customers provide immediate feedback to salespersons.*
3. **Minimum Wastage:** *Only targeted customers are approached, reducing effort and cost.*

SALES PROMOTION

Sales promotion refers to short-term incentives aimed at encouraging customers to make immediate purchases. It helps boost sales and supports other promotional efforts like advertising and personal selling.



Key Targets of Sales Promotion

- **Customers:** *Discounts, free samples, contests, etc.*
- **Traders/Middlemen:** *Dealer discounts, incentives, cooperative advertising.*
- **Salespersons:** *Bonuses, special offers, contests.*

Importance of Sales Promotion

- *Generates immediate sales impact.*
- *Aids in stock clearance.*
- *Encourages customers and distribution channels.*
- *Helps compete effectively in the market.*

Merits of Sales Promotion

1. **Attention Value:** *Attracts customers with extra incentives.*
2. **Useful for New Product Launches:** *Free samples and low prices encourage trials.*
3. **Enhances Other Promotional Efforts:** *Works with advertising and personal selling.*

Demerits of Sales Promotion

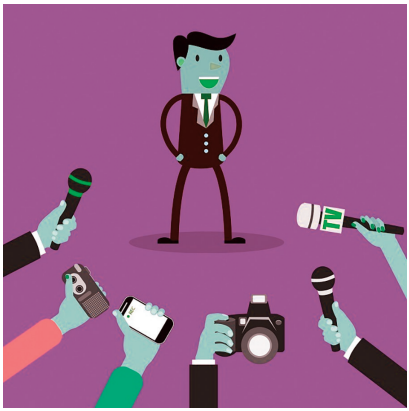
1. **Reflects Crisis:** *Frequent promotions may harm brand reputation.*
2. **Spoils Product Image:** *Customers may doubt product quality.*
3. **Short-Term Impact:** *Benefits are temporary and not sustainable.*

Sales Promotion Techniques

- **Rebate:** *Reduced prices to clear stock.*
- **Discounts:** *Temporary price reductions (e.g., 50% off).*
- **Refunds:** *Cashback offers on purchases.*
- **Product Combination:** *Free product with a purchase (e.g., Airtel + Disney+ Hotstar).*
- **Quantity Gift:** *Extra product quantity as a bonus.*
- **Instant Draws & Scratch Cards:** *Customers win instant prizes.*
- **Lucky Draws:** *Winners get prizes through a draw of lots.*
- **Usable Benefits:** *Coupons or vouchers for future discounts.*
- **Full Finance @ 0%:** *Interest-free installment schemes.*
- **Sampling:** *Free product trials for customer awareness.*
- **Contests:** *Competitions with prizes (e.g., Label design contests).*
- **Container Premiums:** *Reusable product packaging.*
- **Packaged Premiums:** *Surprise gifts inside product packaging.*

PUBLIC RELATIONS (PR)

Public Relations (PR) is a planned and continuous effort to build and maintain mutual understanding between an organization and its public. It helps manage reputation and foster goodwill.



Importance of Public Relations

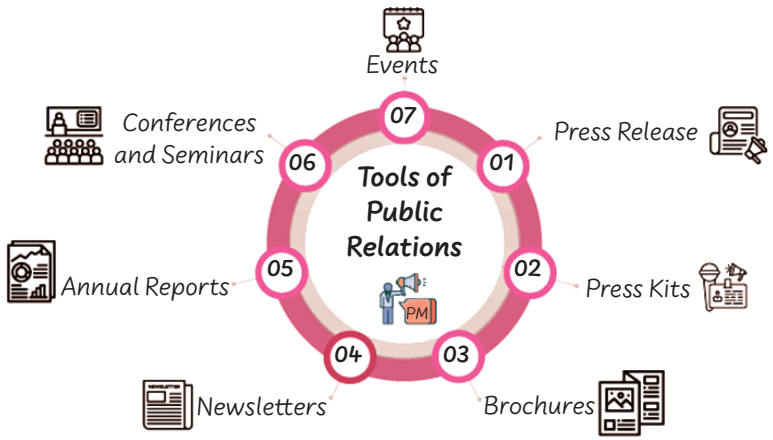
- *PR includes not just customers but also shareholders, suppliers, investors, government, and intermediaries.*
- *It creates a positive image for an organization and strengthens relationships with stakeholders.*

- *Helps promote and protect a company's image through media, speeches, and events.*
- *Provides information to independent media for favorable coverage.*
- *Promotes specific products, services, and events while enhancing the overall brand reputation.*

Role of Public Relations

- *Builds corporate image and strengthens product perception.*
- *Generates interest in existing and new products.*
- *Complements advertising by promoting products at a lower cost.*
- *Helps organizations tackle industry challenges and evolving market trends.*
- *Reduces promotional costs compared to traditional advertising.*
- *Many businesses now establish dedicated PR departments with Public Relations Officers (PROs).*

Tools of Public Relations



1. **Press Release:** *Official announcements to media outlets about events, performances, or news.*
2. **Press Kits:** *A promotional package with company details, management profiles, and customer feedback.*
3. **Brochures:** *Booklets outlining company vision, mission, and achievements.*
4. **Newsletters:** *Periodic updates sent to a specific audience, often via email.*
5. **Annual Reports:** *Summarized financial and operational reports for stakeholders.*
6. **Conferences & Seminars:** *Events conducted to inform and engage the public.*
7. **Events:** *Large-scale events to build a positive brand image, such as product launches and star-studded functions.*